

Professor Salvatore Greco
Editor-in-Chief
Decisions in Economics and Finance
Department of Economics and Business
University of Catania
Corso Italia 55, 95129 Catania, Italy

Dear Professor Greco,

Please find enclosed our manuscript entitled “**Loss Aversion, Endogenous Reference Points, and Boom-Bust Asymmetry in Financial Wealth Dynamics**” for consideration for publication in *Decisions in Economics and Finance*.

Summary of contribution. The paper derives boom-bust asymmetry in financial wealth dynamics as an equilibrium theorem from a minimal CPT-like structure. We retain the single empirically robust element of Cumulative Prospect Theory — the kink in the value function at a reference point — and embed it in a Stackelberg market with a loss-averse market maker, a rational speculator, and a shared Schumpeterian wealth benchmark. Two structural features are jointly necessary: the zero-sum trading game guarantees that the two agents always sit on opposite sides of the kink simultaneously, and the Schumpeterian trend pins volatility persistence to the economy’s long-run growth rate. The paper derives a structural Threshold-GARCH recursion for the conditional variance of detrended wealth deviations with a separation property: the persistence parameter is determined by the growth rate alone and the asymmetry ratio by dealer loss aversion alone. All structural mappings are derived analytically and verified symbolically.

Fit with the journal. The paper sits at the intersection of mathematical finance, behavioural economics, and market microstructure — the core scope of *Decisions in Economics and Finance*. It is theory-driven, derives closed-form results, and connects to an empirically testable cross-sectional identification strategy.

Declarations. This manuscript has not been published previously and is not under consideration for publication elsewhere. The author declares no competing interests.

I would be happy to suggest suitable reviewers if that would be helpful.

Yours sincerely,

Anurag Srivastava
Riskcare Ltd., London, United Kingdom
ORCID: 0000-0002-6477-4430